TOPIC ⑥ · SAMPLE SHORT ANSWER #3

Mass Market vs Two Distinct Segments

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

"You are CMO of a consumer packaged goods company with limited budget. Choose between: targeting a large, broadly defined mass market with a single positioning, OR targeting two smaller, highly distinct segments with different positions. Compare both options strategically, and discuss how your decision would depend on the **costs of differentiation, competitive intensity, and brand equity**."

Grading notes: Mass = **lower cost, more efficient media**, but **less tailored**. Multi-segment = **more relevant**, but **more complex and costly**. It depends on: (a) **competitive intensity**: if high and differentiation is critical, go segmented; (b) if differentiation is **very costly**, assess profitability and make sure the **ROI** merits it; (c) a **very strong brand** may sustain a universal mass approach, **like Coke**. **Grading: 25% options compared, 25% cost, 25% competition, 25% brand.**

Learn it

PLAIN ENGLISH

One message for everyone (mass) is cheap and simple, but it doesn't speak deeply to anyone. Separate messages for separate groups (segmented) speak to each group's real needs, but you pay for two of everything. The right answer depends on how much tailoring costs, how fierce competitors are, and how strong your brand already is.

	Option A: Mass, one positioning	Option B: Two distinct segments
✔	Lower cost; efficient media; economies of scale; simple to run	More relevant; can charge more; harder for rivals to attack; fits "serve real needs"
✘	Less tailored, so "serving the average buyer serves no one"; easy for focused rivals to pick off; risk of being stuck in the middle	Two products, ads, and channels; complexity; splits a limited budget; risk of doing both poorly

The three “it depends” factors (each is 25% of the grade)

💰 Cost of differentiation

If tailoring is very expensive, check that each segment's profit (chain model, break-even) justifies it. With a **limited budget**, the ROI must be clear.

⚔ Competitive intensity

If rivals already target specific segments, a one-size message gets picked apart → **segment**. If competition is weak, mass may be enough.

🏷 Brand equity

A **very strong brand** (Coke) can hold a universal appeal. A weak or new brand needs a sharp segment to stand out.

Related ideas Prof. Kahn emphasized 🎤 CLASS 📊 SLIDES

- **Two ways to build a brand** (class): **awareness-first** for everyone, the old CPG way (Coke, Budweiser), which still works in mass categories because of the **double-jeopardy effect** (big brands get more buyers AND more frequent buyers). Versus **passion-first** in a niche (BAV; Lululemon). The niche approach is “cost efficient and more realistic today” with fragmented media, but may not scale.
- Risk of mass with no differentiation: “you can have very strong brand awareness, but if you don't have that energized differentiation, you actually don't have a strong brand” (stuck in the middle).
- **Principle of Selectivity & Concentration**: choose and focus. **Targeting grid**: pick segments that are attractive AND fit your strengths.
- **Quidel** shows two segments done well; **Pringles** shows how a sharper target (kids/teens) beat a vague one.

A STRONG RECOMMENDATION SENTENCE

“With a limited budget, I'd go **mass** only if our brand is strong and competition is moderate. Otherwise I'd **concentrate on the more attractive, better-fitting segment first**, prove the ROI, then add the second.”

Practice: multiple choice (8), with answers

MC 1 [SAMPLE EXAM]

A CMO with a limited budget compares one mass-market positioning vs two distinct segments. The main ADVANTAGE of the mass approach is:

- **✔ CORRECT: Lower cost and more efficient media spending**
- Highly tailored appeal
- Harder for niche rivals to attack
- Higher price premiums

EXPLANATION

One campaign, one product, scale. The downside is a less tailored message.

MC 2 [SAMPLE EXAM]

When does the grading key say the SEGMENTED approach becomes necessary?

- **✔ CORRECT: When competitive intensity is high and differentiation is critical**
- When the brand is extremely strong, like Coke
- When differentiation is very costly
- Never with a limited budget

EXPLANATION

If rivals target specific groups, a one-size message gets picked apart.

MC 3 [SAMPLE EXAM]

Per the grading key, what does a very strong brand (like Coke) allow?

- **✔ CORRECT: Sustaining a universal, mass approach**
- Skipping all advertising
- Charging any price
- Avoiding competition entirely

EXPLANATION

Strong brand equity can carry one positioning across a broad market.

MC 4 [SAMPLE EXAM]

If differentiating for two segments is very costly, the CMO should:

- **✔ CORRECT: Assess profitability and make sure the ROI justifies it**
- Always choose two segments anyway
- Cut price
- Ignore costs since relevance matters most

EXPLANATION

With a limited budget, tailoring must pay for itself (use segment value and break-even math).

MC 5 [SAID IN CLASS]

In class, why did Kahn say the passion-first (niche) way of building brands is 'more modern'?

- **✔ CORRECT: Media is fragmented, so broad awareness is hard and costly; a niche is cost-efficient and digital can scale it**
- TV advertising is free now
- Niche markets are always larger
- Awareness never matters

EXPLANATION

'Everybody's watching their own TV... at their own time.' The old Super Bowl-style mass approach is harder to pull off.

MC 6 [SAID IN CLASS]

What's the risk of a broad, awareness-first brand with no 'energized differentiation'?

- **✔ CORRECT: It's known but means nothing, so it's 'stuck in the middle' with no loyalty**
- It becomes too exclusive
- It can't be advertised
- It always wins on price

EXPLANATION

Like TV Guide, or 'all beers are the same.' Awareness without meaning doesn't create attachment.

MC 7 [SAID IN CLASS]

The 'double jeopardy' effect helps explain why mass CPG brands still chase broad awareness. It means:

- ✔ **CORRECT: Big brands get more buyers AND those buyers buy more often**
- Small brands are punished by regulators
- Two segments always beat one
- Ads work twice as well online

EXPLANATION

In mass, 'average' categories, penetration drives frequency, so going big and broad still makes sense.

MC 8 [SLIDES]

'Serving the average buyer well serves no one' is an argument for:

- ✔ **CORRECT: Segmenting and targeting rather than one generic offering**
- Mass marketing
- Lower prices
- More product features

EXPLANATION

When groups want different things, a middle-of-the-road product satisfies nobody.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

You are CMO of a CPG company with limited budget. You must choose between targeting a large, broadly defined mass market with a single positioning, or targeting two smaller, highly distinct segments with different positions. Compare both options strategically, and discuss how your decision would depend on the costs of differentiation, competitive intensity, and brand equity considerations.

What a full-credit answer covers

- (25%) Compares options: mass = lower cost, efficient media, less tailored; segments = more relevant, more complex/costly
- (25%) Cost of differentiation: if very costly, check profitability/ROI with a limited budget
- (25%) Competitive intensity: if high and differentiation is critical → segmented
- (25%) Brand equity: very strong brand (Coke) can sustain universal mass
- Gives a clear, conditional recommendation

MODEL ANSWER

A single mass positioning is cheaper and more efficient: one product and campaign, scale in media, simpler execution. But it's less tailored, and 'serving the average buyer well serves no one.' Targeting two distinct segments gives each a positioning built on its real needs, so it's more relevant and harder to attack, but it doubles creative work, SKUs, and complexity on a limited budget. The choice depends on three things. Cost of differentiation: if tailoring is very costly, check each segment's profit (segment value, break-even) to make sure the ROI justifies it. Competitive intensity: if rivals already target specific segments and differentiation is critical, a generic message will be picked apart, so segment. Brand equity: a very strong brand like Coke can sustain a universal mass approach. My recommendation: go mass only if the brand is strong and competition moderate; otherwise concentrate on the more attractive, better-fitting segment first, prove the ROI, then add the second.

SHORT ANSWER 2 (9 points)

A new beverage startup with a small budget wonders whether to advertise broadly (Super Bowl style) or win a passionate niche first. Advise them using what Kahn said about building brands.

What a full-credit answer covers

- Describes awareness-first (old CPG: Coke, Bud) vs passion-first (BAV, Lululemon)
- Startup: limited budget + fragmented media → niche is cost-efficient and realistic
- Risk of broad awareness without differentiation (stuck in the middle)
- Risk of the niche approach: may not scale; plan expansion with digital targeting
- Recommendation with a growth path

MODEL ANSWER

There are two opposite ways to build a brand. The old CPG way builds broad awareness first with mass advertising and expects love to follow (Coke, Budweiser). The BAV way builds energized differentiation and relevance with a small passionate group first, then expands (Lululemon started with affluent yoga women in Canada). For a startup with a small budget, mass advertising is unaffordable and, with fragmented media, hard to pull off. Worse, awareness without a clear point of difference leaves you known but meaningless, stuck in the middle. I'd win a passionate niche first with a sharp positioning, then scale through digital targeting and word of mouth. The risk is that the niche doesn't spread, so I'd pick a niche whose enthusiasm can carry into adjacent segments and track relevance and differentiation as I grow.

SHORT ANSWER 3 (9 points)

Using the targeting grid and the Principle of Selectivity and Concentration, explain how a firm should choose its target segments.

What a full-credit answer covers

- Attractiveness: size, growth, profitability (segment value/CLV)
- Fit: plays to the firm's strengths, hides its weaknesses
- Grid outcomes: perfect, domination essential, beware shake-out, stay away
- Selectivity & concentration: focus resources; can't be all things to all people (Quidel)
- Example (sim segments or Quidel/Pringles)

MODEL ANSWER

Evaluate each segment on two axes. Attractiveness: is it big, growing, and profitable (chain-model value, CLV)? Fit: does it play to our strengths and avoid our weaknesses? High on both is 'perfect.' A great fit with a less attractive segment means 'domination is essential.' An attractive segment that fits poorly means 'beware shake-out,' because better-suited rivals will win. Low on both means stay away. The Principle of Selectivity and Concentration says to then focus resources on the chosen segments rather than trying to be everything to everyone. Quidel's turnaround came from exactly this focus. In Pivot or Perish, that means choosing among the six segments by size, CLV, and preferences that match Getchells' strengths.